EARNINGS RELEASE · FICTIONAL COMPANY

Orbweaver Silkworks reports third quarter 2026 results

Record dragline demand lifts revenue 18%; full-year outlook raised

PORTLAND, October 22, 2026. Orbweaver Silkworks, Inc., the maker of spider-silk fibers for climbing ropes, surgical sutures and very small parachutes, today reported financial results for the third quarter of fiscal 2026, which ended on September 30, 2026.

Third quarter highlights

- Revenue grew 18% year over year to $412.6 million, driven by strong demand for dragline fiber.
- Gross margin was 61.4%, up 230 basis points from a year ago, as the new web farms reached full speed.
- Net income was $44.3 million, up 31% from the prior year.
- Free cash flow reached $71.0 million, and net debt fell to $120 million.

“We have never spun this fast,” said Charlotte Weaver, chief executive officer. “Customers want fibers that are stronger than steel and lighter than cotton, and our spiders have been working nights to deliver them. We are raising our outlook for the year.”

Financial results

Revenue for the third quarter was $412.6 million, compared with $349.7 million in the third quarter of 2025. Dragline fiber, now 64% of sales, grew 24%, while capture-spiral products grew 7%. Revenue from the medical segment, which sells silk sutures to hospitals, rose 15% to $88.2 million.

Operating income rose 46% to $58.1 million, compared with $39.7 million a year ago. The operating margin was 14.1%, up 280 basis points, helped by lower feed costs: the spiders were fed fewer, larger flies. Research and development expenses were $31.5 million, as the company kept working on a silk that does not stick to itself.

Net income was $44.3 million, or $1.12 per diluted share, compared with $33.8 million, or $0.86 per diluted share, in the third quarter of 2025. Diluted earnings per share were $1.12, up 30% from a year ago.

(in millions of dollars, except per share)	Q3 2026	Q3 2025	Change
Revenue	412.6	349.7	+18%
Gross profit	253.3	206.6	+23%
Operating income	58.1	39.7	+46%
Net income	44.3	33.8	+31%
Diluted earnings per share ($)	1.12	0.86	+30%
Free cash flow	71.0	52.4	+35%

Cash and balance sheet

Free cash flow was $71.0 million for the quarter, up 35%. Orbweaver ended the quarter with $214 million in cash and net debt of $120 million, down from $187 million at the end of 2025. The board declared a quarterly dividend of $0.24 per share, payable on November 30, 2026.

Outlook

For the full fiscal year 2026, the company now expects revenue of $1.60 billion to $1.62 billion, up from its previous outlook of $1.55 billion, and an operating margin of about 14%. The outlook assumes normal weather and no major shortage of flies.

Orbweaver Silkworks is a fictional company invented for the Spider Crawler demo. Every name and number in this document is made up. Nothing here is financial information or advice.